Transitional Medi-Cal (TMC) Income	Number	Page
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Revision Date:
September 21, 2020

Background:
This section provides instructions for determining income eligibility to TMC. To remain eligible for TMC, the family income cannot exceed 185% of the federal poverty level (FPL). Rules for determining income in TMC cases are different from Modified Adjusted Gross Income (MAGI) and non-MAGI Medi-Cal rules.

Purpose:
This section is re-written in the new format and updated to current card usage.

Policy:
When to Evaluate Income Eligibility:
Evaluate income at three times during the 12-month TMC period. Only evaluate income when Status Reports are returned. TMC Status Reports are due in the fourth month of Initial TMC, and the first and fourth months of Additional TMC.

Evaluation Period:
- For TMC beneficiaries, use the three-month period covered by the Status report to evaluate income.
- Do not use current income changes reported by the beneficiary to anticipate income eligibility.
- Only use income for the first three months of Initial TMC to determine income eligibility for the Additional TMC period. It does not affect eligibility to the second three months of Initial TMC.
- Use income for the last three months of the Initial TMC period or first three months of Additional TMC period to determine income eligibility in the Additional TMC period.

Countable Income:
People whose income will be counted in determining a family's gross income include:
- All family members living in the home who were members of the Medi-Cal Family Budget Unit (MFBU) during the month the family became ineligible for CalWORKs, parent/caretaker relative MAGI Medi-Cal, and child MAGI Medi-Cal aid codes due to an increase in earnings
- Any family member(s) who return(s) to the home and are eligible to TMC must have his/her income included.

Computing Monthly Gross Earnings:
For TMC, gross monthly earned income cannot exceed 185% FPL.
- Gross income includes any earned income, including the earned income of a child as well as the parent(s) and that of family members who are not eligible for TMC and are receiving Medi-Cal under another program such as MAGI Medi-Cal , MN, or MI. Sneede rules apply.
- Earned income listed in MPG 10.3 as exempt from consideration in regular Medi-Cal is not exempt in TMC.
- Unearned income is not included in gross earned income for TMC.
- Deductions allowed in TMC gross income computations are:
  - Health insurance premiums paid for by any family member

  - Actual out-of-pocket childcare costs of the caretaker relative that are necessary for continue employment. Out-of-pocket expenses mean what is actually paid for childcare. Out-of-pocket expenses do not include childcare costs paid for by someone else or childcare costs that are reimbursed, such as Welfare to Work Child Care.
  - No other deductions are allowed in TMC.
- Gross earned income is determined by adding the three months of reported countable quarterly earnings less deductions, and then dividing this sum by three.
  - Fluctuating income is not treated differently, as is done in regular Medi-Cal
  - Income is not apportioned over time as is done in regular Medi-Cal
  - Reported changes in income are not used to anticipate future income levels
- MFBU size for determining 185% FPL is the current family size even if some members are not TMC eligible.
- Self-employed people are not allowed the 40% deduction from their total business revenue.

Discontinuances for Excess Income:
The table below shows when TMC may discontinued for excess income with adequate notice.

If the excess income is reported during the …	Then discontinue the case at the end of the …
First 3 months of Initial TMC,	6th month of Initial TMC.
Second 3 months of Initial TMC,	1st month of Additional TMC.
First 3 months of Additional TMC	4th month of Additional TMC.

Procedure:
See above.

Program Impacts:
None.

References:
Medi-Cal Eligibility Procedures Manual 5B
ACWDLs 90-06, 92-59, and 00-01

Sunset Date:
This policy will be reviewed for continuance by August 31, 2023

Approval for Release:



Rick Wanne, Director
Eligibility Operations